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**PRINCIPLES AND PRACTICE OF
MANAGEMENT**

July 2018

Time: 3 hours



THE KENYA NATIONAL EXAMINATIONS COUNCIL

**BUSINESS EDUCATION SINGLE AND GROUP CERTIFICATE EXAMINATIONS
STAGE III**

**DIPLOMA IN SUPPLY CHAIN MANAGEMENT
DIPLOMA IN BUSINESS MANAGEMENT
DIPLOMA IN HUMAN RESOURCE MANAGEMENT
DIPLOMA IN ROAD TRANSPORT MANAGEMENT
DIPLOMA IN TOURISM MANAGEMENT
DIPLOMA IN TOUR GUIDING MANAGEMENT
DIPLOMA IN INFORMATION COMMUNICATION TECHNOLOGY
DIPLOMA IN PROJECT MANAGEMENT
DIPLOMA IN MARINE TRANSPORT LOGISTICS
DIPLOMA IN HUMAN RESOURCE MANAGEMENT
DIPLOMA IN DISASTER MANAGEMENT
MODULE III**

PRINCIPLES AND PRACTICE OF MANAGEMENT

3 hours

INSTRUCTIONS TO CANDIDATES

*This paper consists of **SEVEN** questions.*

*Answer any **FIVE** questions.*

Write your answers in the answer booklet provided

All questions carry equal marks.

Candidates should answer the questions in English.

This paper consists of 2 printed pages.

**Candidates should check the question paper to ascertain that
both pages are printed as indicated and that no questions are missing.**

1. (a) Outline **five** ways in which a stable economic environment may impact on management practice. (10 marks)
- (b) Highlight **five** types of information that may be contained in a strategic plan of an organization. (10 marks)
2. (a) Explain **five** demerits of adopting a matrix organizational structure. (10 marks)
- (b) Explain **five** benefits that may accrue to an organization from establishing an effective co-ordination function. (10 marks)
3. (a) Outline **five** objectives of budgetary control. (10 marks)
- (b) Explain **five** challenges that an organization may face in the training and development of its employees. (10 marks)
4. (a) Outline **five** traits that define a good leader. (10 marks)
- (b) Non-monetary motivational packages may take various forms. Explain **five** such forms. (10 marks)
5. (a) Highlight **five** duties of a middle level manager in an organization. (10 marks)
- (b) Explain **five** reasons why the planning function is important to an organization. (10 marks)
6. (a) Explain **five** measures that should be taken by a manager to ensure effective delegation in an organization. (10 marks)
- (b) Explain **five** types of financial ratios that may be used for control purposes in an organization. (10 marks)
7. (a) Many organizations find it necessary to include corporate social responsibility in their mandate. Explain **five** reasons that may account for this inclusion. (10 marks)
- (b) Senior managers are sometimes recruited by a process of "executive search" or "head hunting". Explain the benefits of using this mode of recruitment. (10 marks)

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